

Life insurance policies with investment embedded in them enjoy tax-free status on exit. Equity ULIPs continue to enjoy a tax-free status after the tax changes in 2018. Despite this benefit, most plans from insurance compare unfavourably with PPF, bank deposits and mutual funds.

Asset allocation

We've now asked all the questions and have a short list of products we want to use. Can we finally begin to fill our money box with investment products? Yes, but only after we understand what asset allocation means. Think of asset allocation as a way of reducing your risk. Diversification of a portfolio is achieved through asset allocation. Too much jargon already.

Think about what you eat in a day. Do you eat only one thing or do you try and balance it out? A mix of roti, rice, meat, veggies, fruit, milk, dahi, junk, juice, fizzy, alcohol and whatever more is what an average person will ingest in a day. We eat too much, but I am digressing again. Back to finances.

What'll happen if you only eat pizza morning, noon and night? Apart from getting bored in a week, your body will begin to protest the lack of diversity in the diet. Think of your finances in a similar way. Just one kind of product is harmful to the portfolio because it concentrates your risk in just one thing. Did you say FDs were fine for my dad and they'll be fine for me – where's the risk in an FD?

Sure, no risk of markets crashing, you will get your interest and principal back; but what about the loss due to inflation? You know that when governments borrow too much money, they use the tool of inflation to reduce the real value of their debt.

They reduce the purchasing power of your money as they inflate away their debt. After the 2009 farm loan waiver in India, inflation went to double digits as the government used inflation to reduce its liabilities. Inflation is a serious risk for you if all your assets are sitting in FDs.

Look at your dad today – is he managing fine without help from the kids? Unless he is on a government pension, chances are that he is not. What worked for your dad need not work for you.